FREE GUIDE | UPDATED AUGUST 10, 2026

The California Condo Buyer's Pre-Offer Checklist

What to look for before you write an offer, so the financing doesn't fall apart after you're in contract.

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What's Inside

SECTION 1

A note before you start

Most condo deals that fall apart at the project level were preventable. The buyer just didn't know what to look at before writing the offer.

A NOTE FROM DARYN

If you've picked up this guide, you're probably about to make an offer on a condo, or you're an agent representing a buyer who is. Either way, here's the part nobody tells you: when you buy a condo, the lender doesn't just evaluate you and the unit. They evaluate the entire building. All three have to pass.

I run California condo deals all the time. I've watched buyers fall in love with a unit, write an offer, get into contract, and then find out in week three of escrow that the building has a pending lawsuit or a reserve fund at 18 percent and the financing they were counting on isn't available. That's a preventable outcome. So I wrote this guide.

It's not a sales pitch. There are a few places where I tell you to call me, because I genuinely think this is the kind of thing you're better off running past a lender before you commit. But there's also a complete pre-offer checklist, the 2026 rule changes explained in plain language, a section on how to read a reserve study, and a real conversation about what to do when a building turns out to be non-warrantable. Read whatever's useful.

— Daryn

California coastal condos. The unit is yours; the building is everyone's, and your lender reviews both.

This guide is current as of August 10, 2026. The Fannie Mae and Freddie Mac project-review changes issued March 18, 2026 became mandatory for new applications on August 3, 2026. The next scheduled reserve-allocation change takes effect January 4, 2027.

What's in scope: practical mortgage and project-financing information for people buying condos in California, and the agents representing them. What's out of scope: legal advice on Davis-Stirling matters, HOA governance, or contract interpretation. For those, see a real estate attorney.

> **How to use this guide:** Work through the pre-offer checklist in Section 4 before you write an offer on any California condo. If you find items you can't verify, call me. A free project status check takes less than 24 hours and tells you whether a building will support conventional, FHA, or VA financing before you commit.

SECTION 2

The three words that decide whether you can buy

Define the vocabulary before using it. The rest of the guide assumes these three.

Warrantable

A condo is “warrantable” when the building (not just the unit) meets the requirements that let lenders sell the loan to Fannie Mae or Freddie Mac. That backing is what makes 30-year fixed mortgages, conforming loan amounts, and competitive interest rates possible. When a project is warrantable, your financing options are at their widest: conventional with as little as 3 to 5 percent down, and FHA or VA where the project is also on those lists.

Non-warrantable

The project does not meet one or more standards for the selected agency path. That does not automatically end the purchase, but it changes the available lenders and terms. Portfolio and non-agency programs vary by borrower, building and market, so compare payment, cash to close, fees, timeline and total cost instead of relying on a fixed down-payment or rate estimate.

Non-warrantable loans are real loans, not workarounds. We close them all the time. The down payment is higher than conventional’s 3 to 5 percent minimum, usually 20 to 25 percent, but well within reach for many condo buyers. Section 9 is dedicated to what to do when the building you want is non-warrantable.

Project

When a lender approves a condo loan, they actually approve two things: you (your finances) and the project (the whole building or HOA). A buyer with perfect credit and 20 percent down can still be turned down because the project fails. This is the single most overlooked part of condo financing, and the cause of most late-escrow deal failures.

Throughout this guide, when we use the word “project,” we mean the building, the HOA, the common areas, the financials, the insurance, and everything that’s shared. The unit is yours. The project is everyone’s.

Supporting vocabulary you’ll see in this guide

Project review: The lender’s process of evaluating the HOA to determine warrantability. Typically takes anywhere from one to three weeks.

HOA questionnaire: The standardized form (Fannie Form 1076 or its equivalent) that your lender sends to the HOA management company. It asks about insurance, reserves, litigation, owner occupancy, special assessments, and more. The HOA fills it out and returns it.

Current project-review language

For applications dated on or after August 3, 2026, Fannie Mae Limited Review and Freddie Mac Streamlined Review are retired. Established projects use the agency's current full/established review, reciprocal review or eligible waiver/exempt path. The correct route depends on the agency, project size, project structure and loan.

Reserve study: A formal analysis of the HOA's major components and how much money is being set aside to replace them. The single most useful financial document you can read about a building. Section 5 covers how to read one.

SECTION 3

Why the 2026 rule changes matter for your purchase

Issued March 18, 2026. The August 3, 2026 review changes are now mandatory; the reserve-allocation change follows January 4, 2027.

Fannie Mae LL-2026-03 and Freddie Mac Bulletin 2026-C changed the project-review choices, reserve-study exception and insurance standards. A condo purchase in California today should be evaluated under the current application rules, not an old preapproval or retired review label. The next page shows the two effective dates that matter now.

2026 CONDO FINANCING TIMELINE

AUGUST 3, 2026 - NOW IN EFFECT

Fannie Limited Review and Freddie Streamlined Review are retired. Use the agency's current established-project or eligible small-project path.

JANUARY 4, 2027

The applicable project-review reserve allocation baseline rises from 10% to 15% of annual budgeted assessment income.

ALREADY IN EFFECT

Projects with unresolved critical-repair or unsafe-condition issues may be ineligible until the applicable standard is satisfied.

The August 3 review changes are now in effect

Fannie Mae Limited Review and Freddie Mac Streamlined Review are retired for new applications. That does not mean every loan automatically requires the same Full Review. Fannie Mae uses Full Review or an eligible Waiver of Project Review. Freddie Mac uses Established Project Review, Reciprocal Project Review or an eligible Exempt From Review path. Ask the lender which route applies to this buyer and building.

The 15% reserve rule begins January 4, 2027

Through January 3, 2027, the current Fannie Mae Full Review baseline generally remains 10% of annual budgeted assessment income, unless an eligible reserve study supports the allocation. Starting January 4, the applicable Fannie Mae and Freddie Mac reviews move to 15%. This is a budget contribution test, not a rule that the reserve bank account must be '15% funded.'

The critical-repairs rule (already in effect)

This one is already being enforced. A building with significant deferred maintenance or unaddressed safety issues, think structural problems, failing balconies, or major systems past their service life, is ineligible for conventional financing until the issues are addressed or a funded plan is in place. Post-Surfside, lenders are far more conservative here than they were five years ago.

> **Practical advice: Use the rules in effect now. Ask the lender to identify the current Fannie Mae or Freddie Mac review route, verify the reserve-study method and review insurance before the offer depends on the building. An old approval or retired 'Limited Review' result is not enough.**

The expanded small-project path

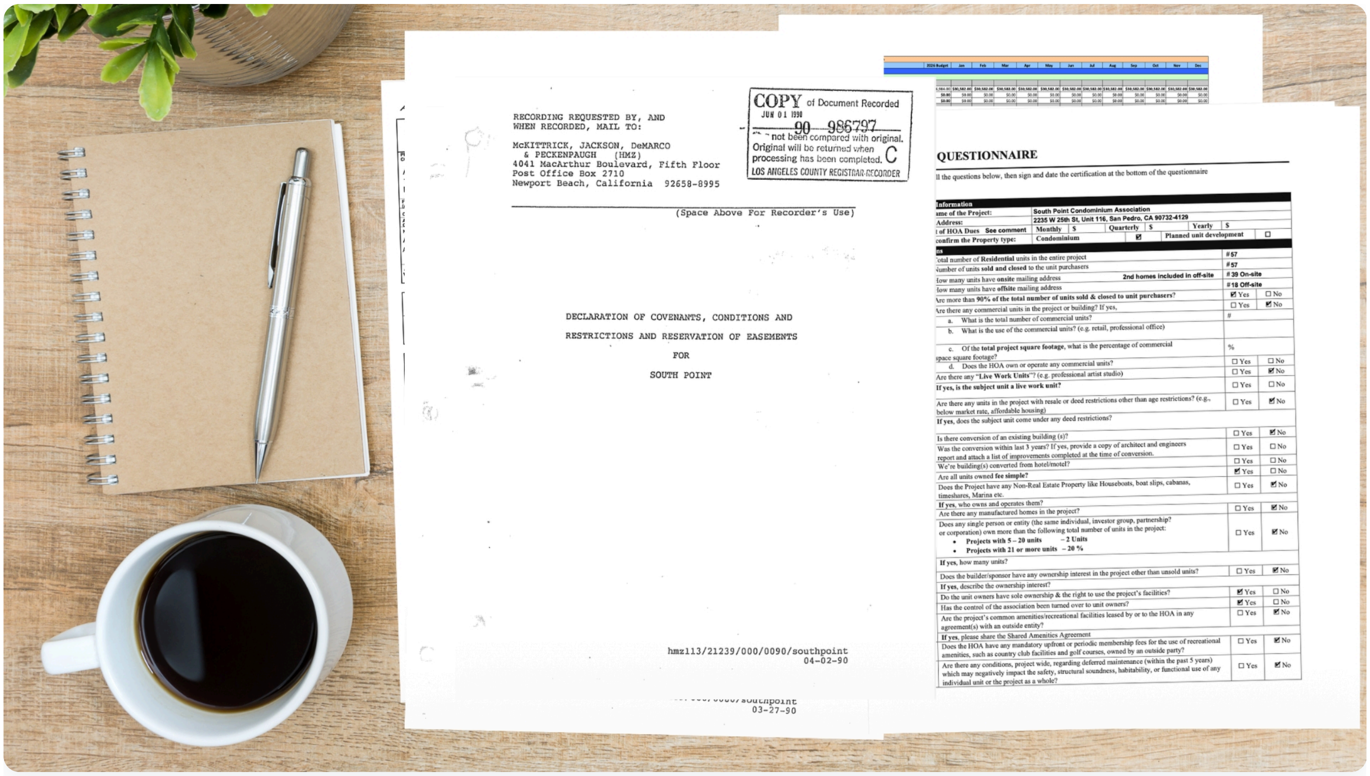
The 2026 updates expanded relief for qualifying projects with 2 to 10 units. For 5-to-10-unit projects, additional conditions apply, including limits involving a master association or larger development. Small does not mean automatic approval; the lender still confirms the specific agency path and project facts.

SECTION 4

The pre-offer checklist

Fifteen items in three categories: documents to request, questions to ask, and conditions to confirm before you write an offer.

The single highest-leverage thing you can do before making an offer on a condo is the work in this section. Most of it takes a few phone calls and a few hours of reading. The payoff is that your deal doesn’t die in week three of escrow because your lender found something you could have known about up front.



The HOA documents in this section are where condo deals are saved or lost.

A. Documents to request (six items)

1 HOA financial statements (current year + prior year)

Look for a healthy operating reserve, no pattern of deferred contributions, and expenses that track with the budget. A consistent gap between budget and actual spending is a warning sign.

2 Reserve study (most recent, ideally within 2 years)

Tells you whether the HOA is setting aside enough to fund future repairs without a special assessment. Percent funded below 50% is a concern; below 30% is serious. Section 5 covers how to read it.

3 HOA meeting minutes (last 12 to 24 months)

Minutes reveal what the board is actually discussing. Deferred maintenance, owner complaints, contractor disputes, and litigation talk all show up here before anywhere else.

4 Master insurance policy

Confirm adequate coverage, including a fidelity bond for HOA funds. Check whether the policy is “bare walls in” or “all-in” so you know what your individual HO-6 policy needs to cover.

5 CC&Rs and bylaws

The governing documents. Check rental caps, pet rules, leasing restrictions, and any owner-occupancy requirements. These affect both your financing and how you’ll be able to use the unit.

6 SB 326 inspection report (where balconies exist)

If the building has elevated wood-framed balconies or decks, ask for the most recent EEE inspection report. Section 6 explains what to look for.

B. Questions to ask the HOA (five items)

7 Is there any pending or active litigation involving the HOA?

Litigation requires case-specific review; it is not always an automatic decline. Ask for the complaint, current status, insurance involvement and an HOA attorney summary. Claims involving safety, structure, habitability or material finances receive close scrutiny.

8 Are any special assessments planned or under discussion?

A past assessment isn’t automatically a problem. An upcoming one is. Ask what’s planned, the amount, and what it funds.

9 What is the current owner-occupancy ratio?

Record the current ratio, but do not apply the old blanket 50% test to every established conventional project. The 2026 agency updates retired the established-project occupancy standards they addressed. New-project presale rules, FHA, VA and lender overlays can still matter.

10 What percentage of owners are behind on dues?

Fannie Mae allows no more than 15% of units to be 60+ days delinquent. A high delinquency rate signals a strained operating budget and broader owner distress.

11 Does the building allow short-term rentals, and is the policy enforced?

Projects that permit or tolerate Airbnb-style rentals at scale are treated as hotel-type operations by Fannie Mae and are ineligible for conventional financing.

C. Conditions to confirm (four items)

12 Check single-entity ownership against the right threshold

For Fannie Mae, more than 2 units owned by one person or entity is ineligible in a 5-to-20-unit project; in a project with 21 or more units, the threshold is more than 20%. Freddie Mac uses its own concentration standards.

13 Commercial space is within limits

If the building is mixed-use, excessive commercial square footage (generally above 35%) can make the project non-warrantable. Ask what share of the building is commercial.

14 Confirm the current and 2027 reserve allocation

Separate the budget contribution from the reserve-account balance. The current applicable baseline is generally 10% of annual budgeted assessment income. The 15% baseline begins January 4, 2027 for the applicable reviews.

15 Run a lender project status check before you write the offer

This is the one that catches what the other fourteen might miss. It's free, takes under 24 hours, and can save you significant cost and heartburn. Details in Section 10.

SECTION 5

How to read a reserve study

The single most important financial document about a condo building. Most buyers skip it because it looks complicated. It isn't.

What a reserve study is

A reserve study is a formal analysis, usually prepared by an independent firm, that lists the major common-area components of a building, estimates their useful life and replacement cost, and calculates how much the HOA needs to set aside each month to fund those replacements without a special assessment. California law requires most HOAs to conduct reserve studies and update them periodically. The most recent study should be available during your purchase.

The number that matters most: percent funded

Percent funded tells you what share of the ideal reserve balance the HOA actually has on hand. If the study says the building needs $1,000,000 in reserves and the HOA has $500,000 in the bank, it's 50% funded. As a rule of thumb: 70% or above is well-funded and low risk; 50 to 70% is adequate with some catch-up needed; 30 to 50% is underfunded with elevated special-assessment risk; and below 30% is significantly underfunded, meaning the HOA is likely relying on future assessments to function.

The 30-year projection

Most reserve studies include a 30-year funding plan showing projected balances under different contribution scenarios. Look at the low-funding scenario. If the projection shows the reserve balance dropping to zero or going negative at any point, that's a meaningful warning. A reserve fund that hits zero has one option: a special assessment to the owners, and if you've just bought in, that means you.

Component condition versus funding status

Even a well-funded study deserves a careful read if major components are in poor condition or overdue for replacement. Pay attention to roofing, elevators, plumbing, electrical, and parking structures: the expensive ones. If a major component has less than five years of remaining useful life, ask whether the HOA has a plan and whether that plan is funded.

> **What to ask:** When was the reserve study last updated? Is the HOA on the recommended funding plan, or contributing less than recommended? If less, why? Two minutes of questions can tell you a great deal about how the board runs the building.

SECTION 6

SB 326: the California-specific layer

California's balcony inspection law adds a layer that buyers in other states never deal with. If your condo has balconies, this affects you.

Civil Code Section 5551 applies to qualifying wood-supported exterior elevated elements with walking surfaces more than six feet above ground in buildings with three or more attached multifamily units. Inspections may be performed by a California-licensed architect, civil engineer or structural engineer. The first deadline was January 1, 2025; inspections repeat every nine years.

Who does SB 326 apply to?

Condo associations with buildings that have elevated exterior elements supported by wood framing. If the building is all concrete and steel, SB 326 may not apply. If it has wood-framed balconies, which is most older Southern California condo stock, it does.

What does a compliant inspection look like?

Current law requires a statistically significant sample providing 95% confidence with a margin of error no greater than 5%. The inspector documents condition and repairs in a report retained by the association for two inspection cycles.

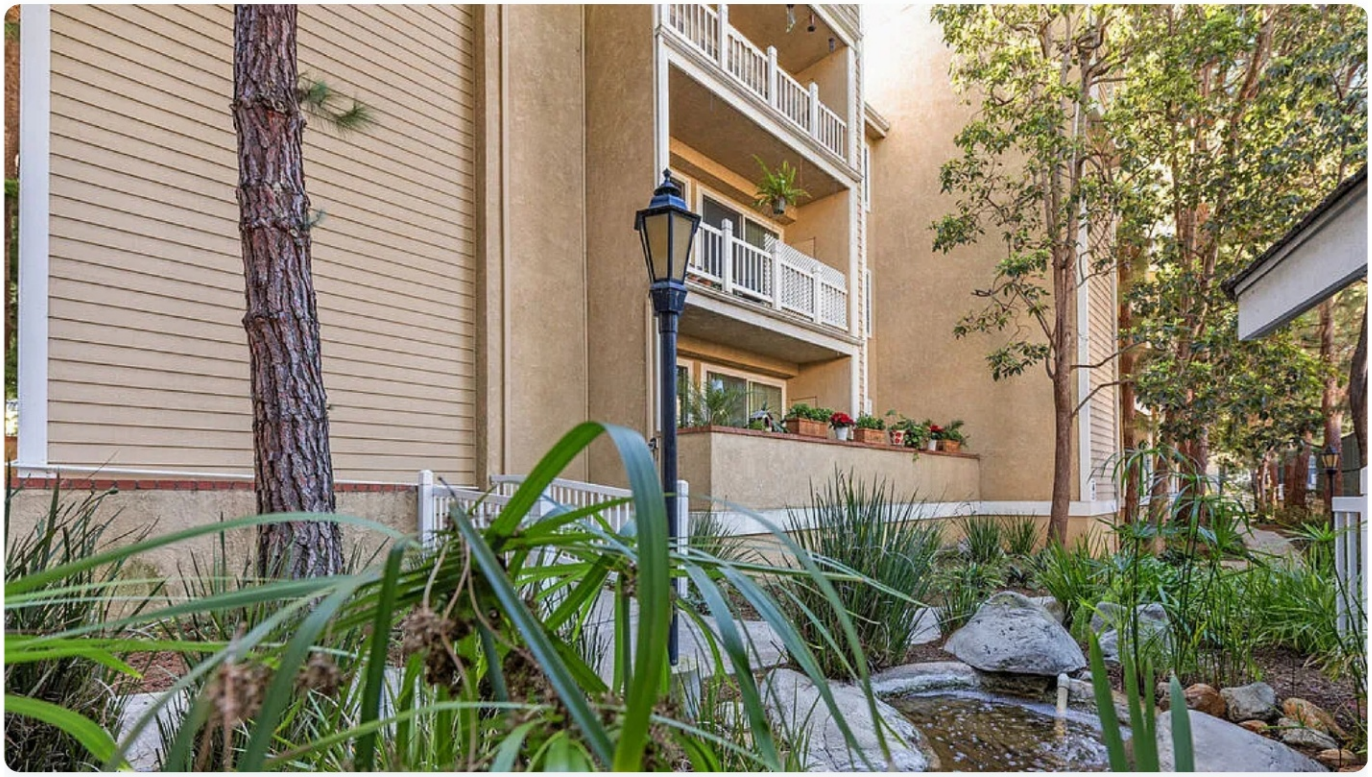
What changed in 2026?

SB 410 took effect January 1, 2026. It updated the sampling language and added the most recent Section 5551 inspection report, if available, to the statutory seller-to-buyer disclosure package. Ask for the report, not a one-line summary or 'certificate.'

What if the HOA hasn't done the inspection yet?

If the deadline has passed and the inspection hasn't happened, that's a compliance gap and a financing risk. Lenders are paying closer attention to SB 326 status in 2026, and a building carrying unknown structural risk can stall or kill a loan.

> **Watch for this:** "The inspection was done" doesn't tell you whether deficiencies were found or addressed. Ask for the actual report, not a one-line summary from the listing agent.



Wood-framed balconies are exactly what SB 326 inspections target.

SECTION 7

The nine red flags that kill condo deals

The patterns that turn a great-looking unit into a deal that won't close, or a closing that comes with surprises. Some are automatic disqualifiers; all are worth understanding before you commit.

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1. Active litigation

Litigation needs a case-specific lender review. Not every lawsuit is an automatic disqualifier; limited exceptions exist. The lender will focus on the nature of the claim, project safety and habitability, potential financial exposure, insurance and the current procedural status.

2. Pending special assessment

An assessment that hasn't been formally levied may not appear in standard disclosures. Meeting minutes and a direct question often surface it. Know the amount and what it funds before you write the offer; you may be able to negotiate who pays it.

3. Investor concentration

The 2026 updates retired the established-project owner-occupancy requirements they addressed. Occupancy can still matter for new-project presale, FHA, VA and lender overlays, so record the ratio and have the lender apply the right program.

4. Single-entity ownership

Fannie Mae generally caps one person or entity at 2 units in a 5-to-20-unit project and 20% in a project with 21 or more units. Freddie Mac generally uses 2 units for 11-to-20-unit projects and 25% for projects with 21 or more units.

5. Excessive commercial space

In mixed-use buildings, commercial square footage above roughly 35% can make the project non-warrantable. Ground-floor retail is fine in moderation; a building that's mostly commercial is a problem.

6. Hotel or transient operations

Widespread short-term rentals make Fannie Mae treat the building as a hotel-type operation, which is ineligible. Even a handful of units on Airbnb at scale can affect the whole building.

7. Inadequate reserves

Read the reserve study, adopted budget and actual contribution together. The 15% agency baseline begins January 4, 2027 for the applicable reviews and refers to annual budgeted assessment income, not the cash balance or reserve-study percent funded.

8. Unaddressed critical repairs

Identified structural or safety deficiencies with no funded plan to fix them are a serious risk. Post-Surfside, this is one of the fastest ways for a building to become unfinanceable.

9. SB 326 non-compliance

A building that should have completed its balcony inspection but hasn't is carrying unquantified risk, and some lenders now treat that as a material issue.

FHA and VA condo lists explained

FHA and VA use project standards separate from conventional financing. FHA may work through an approved project or an eligible Single-Unit Approval. VA generally requires the project to be accepted by VA.

Why this matters for your purchase

A conventional project result does not answer FHA or VA eligibility. For FHA, check both the current project status and whether the unit may qualify through Single-Unit Approval. For VA, confirm the project's current VA acceptance with the lender.

How to look up your project status

FHA maintains a searchable approved-condo database at hud.gov. VA maintains its own separate list. Both can be checked by address or project name, and your lender can run them for you. Approvals expire, FHA certification lasts three years, so always check current status, not whether the building was approved at some point in the past.

How to get a project approved if it isn't

If the building isn't on your list, you have options. FHA offers a single-unit approval pathway for qualifying buyers in otherwise-unapproved projects. VA has its own submission process. Either route takes time and HOA cooperation, so start early. And if none of the agency programs work, non-warrantable financing (Section 9) is still on the table.

> **If the building isn't on either list:** Don't assume the deal is dead. Ask your lender about FHA single-unit approval, VA endorsement, conventional warrantability as an alternative, or a non-warrantable portfolio loan. There's usually a path.

A clean, well-staged unit still has to clear FHA, VA, or conventional project review before you can finance it.

SECTION 9

When the building does not qualify

A non-warrantable building doesn't mean you can't buy the unit. It means you need a different loan. Those programs exist and close deals every week in California.

Who lends on non-warrantable condos?

Portfolio lenders, who keep the loan on their own books instead of selling it to Fannie or Freddie. Because they hold the risk, they charge for it: higher rates, larger down payments, stronger borrower qualifying. The exact terms depend on why the building is non-warrantable. Investor concentration is a different risk profile than active litigation plus an underfunded reserve, and lenders price those differently.

How we close non-warrantable deals: Condo Solutions

At NEO, I work with non-warrantable condo projects regularly. The program structures around the specific reason a building fails warrantability, rather than treating every non-warrantable project the same. If you've found a unit you love in a building that doesn't qualify for conventional financing, that's a conversation worth having before you walk away.

The quick facts on non-warrantable financing

Portfolio and non-agency condo loans are real alternatives, but terms vary by lender, borrower, project and market. Compare the monthly payment, cash to close, cash retained, rate, APR, points, fees, fixed or adjustable structure, timeline and total cost over the buyer's expected ownership period. A future conventional refinance may become possible if the project and borrower later qualify, but it is never guaranteed.

What this means for your pricing strategy

If the building is non-warrantable, the buyer pool shrinks to people who can put more down and accept a higher rate. That affects what you should offer. Knowing the building's status before you write lets you price the offer realistically rather than over-committing for a building that limits your future resale.

The conversation to have with the listing agent

Ask, before you write, whether the building is known to be warrantable and whether prior buyers have closed conventional loans there recently. If the listing agent doesn't know, that's your cue to run a project status check before committing.

> **Bottom line:** A non-warrantable project narrows your options. It doesn't end the deal. Call me before you walk away; the terms are different, but the transaction is usually possible.

SECTION 10

How to request a free project status check

The fastest way to know exactly where a building stands before you write an offer.

I run a free project status check for buyers before they make an offer. Send me the building's address and the HOA name, and within one business day you'll get a read on the current status across Fannie Mae, Freddie Mac, FHA, and VA, plus my assessment of anything that looks like a flag.

What I check

- **Fannie Mae and Freddie Mac project eligibility** — including known flags and current warrantability under the updated 2026 guidelines.
- **FHA and VA approval lists** — whether the project is currently approved, when approval expires, and any past approval issues.
- **Public litigation records** — any active or recent lawsuits involving the HOA that are a matter of public record.
- **HOA questionnaire review (where available)** — if a recent questionnaire exists, I'll review it to flag anything material before the full lender review begins.

What I need from you

The address of the unit and, if you have them, any HOA documents the listing agent already shared. The more I have, the more specific the read. If no documents are available yet, I can still run the address through the project databases and flag known issues.

Turnaround and cost

An initial read in most cases within 24 hours, at no cost. If the building needs an HOA questionnaire that hasn't been completed, that piece depends on the management company's response time.

REQUEST A PROJECT STATUS CHECK

Email, call, or schedule online. Mention the building address and your target offer date.

EMAIL

myadvisors@neohomeloans.com

PHONE

424-396-6967

SCHEDULE A CALL

darynfillis.com/schedule

About Daryn & how to reach me

Who I am and how to reach me.

I have advised clients on mortgage strategy in Los Angeles since 2015. I'm a Certified Mortgage Advisor and Branch Lead at NEO Home Loans, licensed in California, and bilingual in English and Spanish.

Condo financing is where I spend a disproportionate amount of time, because it's where buyers get surprised most often. The building review, the warrantability analysis, the project questionnaire, the reserve study, the SB 326 status: these aren't things most lenders run before you're in contract. I run them before you write the offer.

NEO Home Loans is powered by Better Mortgage Corporation and operates as a full-service mortgage lender. My focus is a clear strategy and a clean transaction, not just a rate quote.

If this guide was useful, the best next step is a 20-minute call. No pitch, no pressure, just a direct conversation about your situation and what's available to you. Contact details and full disclosures are on the back cover.

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This guide is not legal advice, tax advice, or HOA governance advice. For matters specific to your association, consult with HOA counsel or a real estate attorney. References to California Civil Code Section 5551 (SB 326), Fannie Mae Lender Letter LL-2026-03, Freddie Mac Bulletin 2026-C, and other regulatory or program publications are accurate to the best of our knowledge as of the publication date of this guide; consult original sources for authoritative information.

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